

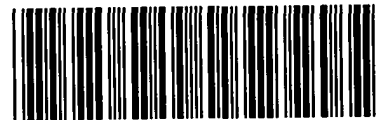
Alpha Financial Markets Consulting Limited

**Directors' report and financial
statements**

Registered number 04710715

31 March 2014

TUESDAY



A3ZY4715

A27

27/01/2015

#4

COMPANIES HOUSE

Contents

Company information	1
Directors' report	2
Strategic report	3
Statement of directors' responsibilities	4
Independent auditor's report to the members of Alpha Financial Markets Consulting Limited	5
Profit and loss account	6
Balance sheet	7
Notes	8

Company information

Directors	Mr N Baker Mr N Curham Mr G Faragher-Thomas Mr E Fraser Mr B Lantorp Mr S McNulty Mr M Smith Mr D Spencer
Secretary	Mr N Baker
Company number	04710715
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House Park Row Nottingham NG1 6FQ
Bankers	HSBC Bank PLC 28 Borough High Street Southwark London SE11YB

Directors' report
for the year ended 31 March 2013

The directors present their report and the audited financial statements for the year ended 31 March 2014.

Principal activities and review of the business

The principal activity of the company continued to be the provision of consulting and related services to clients in the asset and wealth management industries.

On 24 October 2013, Alpha FMC Group Limited bought the entire share capital of Alpha Financial Markets Consulting Group Limited, the parent of Alpha Financial Markets Consulting Limited.

Results and dividends

The results for the year are set out on page 6.

An interim ordinary dividend was paid amounting to £600,000 (2013: £665,000). The directors do not recommend payment of a final dividend (2013: £nil).

After deducting taxation, dividends and accounting for share based payments, the amount of £3,880,000 (2013: £1,458,000) has been transferred to reserves.

Directors

The following directors have held office during the period and to the date of this report.

Mr N Baker	
Mr N Curham	
Mr G Faragher-Thomas	
Mr E Fraser	
Mr N Kent	(resigned 24 October 2014)
Mr B Lantorp	
Mr S McNulty	
Mr M Smith	(appointed 1 April 2014)
Mr D Spencer	(appointed 1 April 2014)

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

Auditor

Dickinsons resigned as auditor during the year and KPMG LLP were appointed. Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



Mr N Baker

Director

23 January 2015

Strategic report

Business review

The company has made very strong progress during the year. Turnover increased 95% from £11,693,000 to £22,758,000 and operating profit increased 131% from £1,876,000 to £4,332,000, a historically high level of growth. Trade debtors have increased during the year, moving from £3,057,000 to £3,908,000 due to the large increase in revenue. There are no concerns over the recoverability of debtors although a small bad debt provision has been introduced during the year to mitigate potential risk.

Future developments

The business plan developed by the directors shows growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the company is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management continue to operate conservative cash management policies.

By order of the board



Mr N Baker
Director

23 January 2015

Statement of directors' responsibilities in respect of the strategic report, directors' report and the financial statements

The directors are responsible for preparing the Directors' and Strategic Reports and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.



Independent auditor's report to the members of Alpha Financial Markets Consulting Limited

We have audited the financial statements of Alpha Financial Markets Consulting Limited for the year ended 31 March 2014 set out on pages 6 to 17. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2014 and of its profit for the year then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' and Strategic Reports for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Wayne Cox *Senior Statutory Auditor*

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
Park Row
Nottingham NG1 6FQ

Dated: 23 January 2015

Profit and loss account
for the year ended 31 March 2014

	<i>Note</i>	2014 £000	2013 £000
Turnover	2	22,758	11,693
Cost of sales		(14,064)	(8,529)
Gross profit		8,694	3,164
Administrative expenses		(4,362)	(1,288)
Operating profit	3	4,332	1,876
Other interest receivable and similar income	4	6	1
Interest payable and similar charges	5	-	(3)
Profit on ordinary activities before taxation		4,338	1,874
Tax on profit on ordinary activities	6	(191)	(470)
Profit for the year	18	4,147	1,404

In both the current and preceding year, the company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account.

Balance sheet
as at 31 March 2014

	<i>Note</i>	2014	2013
		£000	£000
Fixed assets			
Tangible assets	10	52	40
Investment	11	-	-
		52	40
Current assets			
Debtors	12	5,126	4,990
Cash at bank and in hand		5,931	532
		11,057	5,522
Creditors: amounts falling due within one year	13	(4,546)	(2,879)
Net current assets		6,511	2,643
Net assets		6,563	2,683
Capital and reserves			
Called up share capital	17	275	275
Other reserves	18	-	815
Profit and loss account	18	6,288	1,593
Shareholders' funds	20	6,563	2,683

Approved by the board and authorised for issue on 23 January 2015



Mr N Baker

Director

Company registered number: 04710715

Notes

(forming part of the financial statements)

1 Accounting policies

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

Basis of preparation

The financial statements are prepared in accordance with applicable United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), which have been applied consistently (except as otherwise stated) and under historical cost accounting rules.

The Company is exempt by virtue of s400 of the Companies Act 2006 from the requirement to prepare group financial statements as it is included in the consolidated financial statements of Alpha FMC Group Holdings Limited. These financial statements present information about the Company as an individual undertaking and not about its group.

Under FRS 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that a parent undertaking includes the company in its own published consolidated financial statements.

As the Company is a wholly owned subsidiary of Alpha FMC Group Holdings Limited, the Company has taken advantage of the exemption contained in FRS 8 and has therefore not disclosed transactions or balances with entities which form part of the group. The consolidated financial statements of Alpha FMC Group Holdings Limited, within which this company is included, can be obtained from the address given in note 22.

Turnover

Turnover represents amounts receivable for services, net of VAT. Turnover is recognised upon delivery of the service.

Tangible fixed assets and depreciation

Tangible fixed assets are stated at cost less depreciation. Depreciation is provided at rates calculated to write off the cost less estimated residual value of each asset over its expected useful life, as follows:

Leasehold Land and buildings	over the lease term
Computer equipment	3 years straight line
Fixtures, fittings and equipment	4 years straight line

Investments

Fixed asset investments are stated at cost less provision for diminution in value.

Pensions

The company operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit and loss account in the year they are payable.

Taxation

The charge for taxation is based on the profit for the year and takes into account taxation deferred because of timing differences between the treatment of certain items for taxation and accounting purposes.

Deferred taxation is provided in respect of material taxation deferred by timing differences between the treatment of certain items for taxation and accounting purposes. The deferred tax balance has not been discounted.

Foreign currency translation

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are recorded at the rate ruling at the date of the transaction. All differences are taken to profit and loss account.

Notes (continued)

1 Accounting policies (continued)

Share-based payments

The company has issued share options to certain directors and employees. These must be measured at fair value and recognised as an expense in the profit and loss account with a corresponding increase in equity. The fair value of the options is estimated at the date of grant using the Black-Scholes Option Pricing Model. The fair value is charged as an expense in the profit and loss account over the vesting period and adjusted each year to reflect the expected and actual level of vesting.

Dividends on shares presented within shareholders' funds

Dividends unpaid at the balance sheet date are only recognised as a liability at that date to the extent that they are appropriately authorised and are no longer at the discretion of the Company. Unpaid dividends that do not meet these criteria are disclosed in the notes to the financial statements.

2 Turnover

	2014 £000	2013 £000
<i>Geographical market</i>		
United Kingdom	12,460	9,493
Europe	882	1,341
Rest of the World	9,416	859
	<u>22,758</u>	<u>11,693</u>

3 Operating profit

	2014 £000	2013 £000
<i>Operating profit is stated after charging:</i>		
Depreciation of tangible fixed assets	33	27
Loss on disposal of fixed assets	1	-
Operating leases - Land and buildings	77	84
<i>Auditor's remuneration</i>		
- audit of these financial statements	20	13
- tax compliance services	8	5
	<u> </u>	<u> </u>

4 Investment income

	2014 £000	2013 £000
Bank interest	5	1
Other interest	1	-
	<u>6</u>	<u>1</u>

5 Interest payable

	2014 £000	2013 £000
Other interest	-	3
	<u> </u>	<u> </u>

Notes (continued)

6 Taxation

	2014 £000	2013 £000
<i>Domestic current year tax:</i>		
UK corporation tax	11	633
Adjustment in respect of previous periods	(1)	2
Total current tax	10	635
<i>Deferred tax</i>		
Charge/(credit) for the year	181	(165)
	191	470
<i>Factors affecting the tax charge for the year</i>		
	2014 £000	2013 £000
Profit on ordinary activities before taxation	4,338	1,874
Profit on ordinary activities before taxation multiplied by the standard rate of UK corporation tax of 23% (2013: 24%)	998	450
<i>Effects of:</i>		
Non deductible expenses	96	195
Other permanent differences	(893)	-
Group relief claimed	(9)	-
Marginal relief	(1)	-
Differences between depreciation and capital allowances	(3)	2
Adjustments to tax charges in respect of previous periods	(1)	2
Other short term timing differences	(177)	-
Other tax adjustment	-	(14)
	(988)	185
Current tax charge for the year	10	635

Reductions in the UK corporation tax rate from 23% to 21 % (effective from 1 April 2014) and 20% (effective from 1 April 2015) were substantively enacted on 2 July 2013. This will reduce the company's future current tax charge accordingly.

7 Directors' remuneration

	2014 £000	2013 £000
Remuneration for qualifying services	1,199	1,139
Company pension contribution to defined contribution schemes	10	8
	1,209	1,147

Notes (continued)

7 Directors' remuneration (continued)

Remuneration disclosed above included the following amounts paid to the highest paid director:

	2014 £000	2013 £000
Remuneration for qualifying services	250	287
Company pension contribution to defined contribution schemes	1	3
	<u>251</u>	<u>290</u>

8 Employees

Number of employees

The average monthly number of employees (including directors) during the year was:

	2014 Number	2013 Number
Administrative	2	2
Sales	46	39
	<u>48</u>	<u>41</u>

Employment costs (including directors)

	2014 £000	2013 £000
Wages and salaries	4,372	4,319
Social security costs	810	497
Other pension costs	25	22
Costs of share option scheme	333	719
	<u>5,540</u>	<u>5,557</u>

9 Dividends

	2014 £000	2013 £000
Ordinary interim paid	600	665
	<u>600</u>	<u>665</u>

Notes (continued)

10 Tangible fixed assets

	Leasehold land and buildings £000	Computer equipment £000	Fixtures, fittings and equipment £000	Total £000
<i>Cost:</i>				
At 1 April 2013	38	121	27	186
Additions	-	39	8	47
Disposals	-	(3)	-	(3)
At 31 March 2014	38	157	35	230
<i>Accumulated depreciation:</i>				
At 1 April 2013	28	94	24	146
Charge for the year	8	22	3	33
Disposals	-	(1)	-	(1)
At 31 March 2014	36	115	27	178
<i>Net book value:</i>				
At 31 March 2014	2	42	8	52
At 31 March 2013	10	27	3	40

11 Fixed asset investments

	Shares in Subsidiary undertakings £
<i>Cost:</i>	
At 1 April 2013 and 31 March 2014	1
<i>Net book value:</i>	
At 31 March 2014	1
At 31 March 2013	1

Holdings of more than 20%

The company holds more than 20% of the share capital of the following companies

Subsidiary undertakings	Country of incorporation	Shares held Class	%
AFMC Employee Trustee Limited	United Kingdom	Ordinary	100.00

Notes (continued)

11 Fixed asset investments (continued)

The aggregate amount of capital and reserves and the results of these undertakings for the last relevant financial year were as follows:

Subsidiary undertakings	Principal activity	Capital and reserves 2014 £	Profit/(loss) for the year 2014 £
AFMC Employee Trustee Limited	Dormant company	1	-

AFMC Employee Trustee Limited has remained dormant throughout the year.

12 Debtors

	2014 £000	2013 £000
Trade debtors	3,908	3,057
Amounts due from other group companies	566	-
Other debtors	50	1,120
Corporation tax debtor	501	-
Prepayments and accrued income	101	632
Deferred tax asset (note 14)	-	181
	<u>5,126</u>	<u>4,990</u>

Other debtors include rent deposits amounting to £nil (2013: £50,000) which are recoverable after more than one year.

13 Creditors: amounts falling due within one year

	2014 £000	2013 £000
Trade creditors	911	434
Amounts owed to other group companies	1,103	220
Corporation tax	-	286
Other taxes and social security costs	532	470
Directors' current accounts	-	278
Other creditors	7	113
Accruals and deferred income	1,993	1,078
	<u>4,546</u>	<u>2,879</u>

Notes (continued)

14 Deferred tax asset

The deferred tax asset, included in debtors (note 12) is made up as follows:

	2014 £000	
Balance at 1 April 2013	181	
Profit and loss account	(181)	
Balance at 31 March 2014	-	
	2014 £000	2013 £000
Accelerated capital allowances	(9)	(6)
Other timing differences	9	187
	-	181

15 Pension costs

During the year the company continued to operate a money purchase pension scheme with defined contribution levels for the benefit of employees and directors. The assets of the scheme are administered separately from those of the company in an independently administered fund. Contributions during the year amounted to £25,331 (2013 £21,672).

The number of directors accruing benefits under the scheme was three (2013: four).

16 Share-based payment transactions

The company operates a general employee share-option scheme for the benefit of certain directors and employees. The scheme has been in operation since November 2007.

Options granted under the scheme typically have a life of 10 years and vest within three years from the grant date, the vesting period varies depending upon the purpose of and the conditions attached to the individual options awarded. The vesting conditions associated with the share options granted are generally either performance or service related. All awards under the scheme are equity-settled, and all became exercisable when the parent company was sold.

The following share options were outstanding under the scheme:

	Number of options 2014	Weighted average exercise price (pence) 2014	Number of options 2013	Weighted average exercise price (pence) 2013
At beginning of the year	107,368	506	61,888	592
Granted in the year	-	-	50,980	348
Forfeited in year	(6,450)	269	-	-
Exercised in the year	(100,918)	535	(5,500)	11
	-	-	107,368	506
Options exercisable at the end of the year	-	-	107,368	506

Notes (continued)

16 Share based payment transactions (continued)

During the year, the following share options were exercised: 49,480 (2013: 5,500) Ordinary 'ANV' shares of 10p each, with an estimated weighted average share price at the date of exercise of 10.29p (2013: £18.77); 24,450 (2013: nil) Ordinary 'A' shares of 10p each at a weighted average share price at the date of exercise of £19.81; 3,788 (2013: nil) Ordinary 'UK' shares of £3.10 each at a weighted average share price at the date of exercise of £15.93; 23,200 (2013: nil) Ordinary 'C' shares of 10p each at a weighted average share price at the date of exercise of 10p.

Weighted average remaining contractual life of outstanding options in 2013 (nil in 2014):

	2013
Outstanding options (number)	107,368
Weighted average price (pence)	506
Weighted average remaining contracted life (years)	1.92
Range of exercise prices for share options outstanding at the end of the year (pence)	10p to 1.981p

In accordance with FRS 20 'Share-Based Payments', the fair value of each of the share options has been calculated by applying the Black-Scholes Option Pricing Model to the estimated share price on the grant date of the option.

The model inputs were the relevant share price at grant date, the exercise price as stated in the option agreement, expected volatility of 25%, no expected dividends, an option life based on the best estimate of the expected vesting period, and a risk-free interest rate of 3%.

To allow for the effects of early exercise, the option life is based on an estimate of the option's expected life rather than its contractual life.

Volatility has been determined based on historical volatility in the estimated share price.

No share options were granted in the year.

The following share options were granted in the prior year.

Class of shares	Ordinary 'A' share of 10p	Ordinary 'ANV' share of 10p	Ordinary 'UK' share of 10p	Ordinary ANV share of 10p
Date of grant	23-Oct-12	23-Oct-12	23-Oct-12	05-Feb-13
Number of options granted	5,500	35,255	8,750	1,475
Exercise price (pence)	10p	10p	1,981p	10p
Estimated share price at grant date	1.877p	1.877p	3,115p	2,760p
Fair value of option at grant date	1,877p	1,877p	3,158p	2,760p
Life of option	07 year	07 year	07 year	04 year

The total expense recognised, in the profit and loss account for the year, arising from share-based payment transactions was as follows

	2014 £000	2013 £000
Expense arising from equity-settled share based payment transactions	333	719

Notes (continued)

17 Called up share capital

	2014 £000	2013 £000
<i>Allotted, called up and fully paid:</i>		
275,000 ordinary shares of £1 each	275	275
	<u>275</u>	<u>275</u>

18 Statement of movement on reserves

	Other Reserves £000	Profit and loss £000
Balance at 1 April 2013	815	1,593
Profit for the year	-	4,147
Dividends paid	-	(600)
Movement in the year	333	-
Transfer	(1,148)	1,148
	<u>-</u>	<u>6,288</u>
Balance at 31 March 2014	-	6,288

19 Related party relationships and transactions

During the year, the Directors were repaid the balances in their current accounts of £278,000 as included in note 13.

The company has taken advantage of the exemption in Financial Reporting Standard Number 8 from the requirement to disclose transactions with group companies on the grounds that consolidated financial statements are prepared by the ultimate parent company.

20 Reconciliation of movement in shareholders' funds

	2014 £000	2013 £000
Profit for the financial year	4,147	1,404
Dividends paid	(600)	(665)
	<u>3,547</u>	<u>739</u>
Share based payment expense	333	719
	<u>3,880</u>	<u>1,458</u>
Net movement in shareholders' funds	3,880	1,458
Opening shareholders' funds	2,683	1,225
	<u>6,563</u>	<u>2,683</u>
Closing shareholders' funds	6,563	2,683

Notes (continued)

21 Commitments

At 31 March 2014 the company was committed to making the following payments under non-cancellable operating leases in the year to 31 March 2015:

	Land and buildings	
	2014	2013
	£000	£000
<i>Operating leases which expire:</i>		
Within one year	18	-
Between two and five years	-	84
	18	84

22 Control

The company has been controlled throughout the year by Alpha Financial Markets Consulting Group Limited and from 25 October 2014 by Alpha FMC Group Holdings Limited, the parent undertakings, which are both ultimately controlled by Baird Capital Partners. Group consolidated financial statements can be obtained from the registered office at 60 Gresham Street, London, EC2V 7BB.